

I asked to see her checkbook, which she then handed over. Arthur Andersen and Company could not have balanced that checkbook! Apparently, being a courteous woman, she didn't want to keep anybody waiting in line while she wrote down the amount of her purchase, so she normally waited until she got home to record her checks. Sometimes she waited as long as a week or so to write them down. Anyone who has ever done this realizes that by that time, it's hard to remember whether that check was for \$16.11 or \$11.16. So Melody just wrote down something close. Usually she would write a question mark next to the amount of the check. Occasionally the amount would be scratched out with a note beside it. For instance, "See check No. 62." So I turned to check No. 62, which referenced back to check No. 61, which referenced check No. 59, and so on.

"My goodness, do you ever balance your checkbook?" I wondered aloud.

By this time she was crying when she said, "I try, every single month." So I asked her to explain how she balanced it. "Well you know, the bank sends me my cancelled checks, wrapped with a statement around them. The first thing I do is look through all of my checks to be sure that I actually wrote them. In other words, that they're my checks and not somebody else's." There's certainly nothing wrong with that. "Then," she continued, "I take the amounts on my checks, and compare them with the amounts in my checkbook. If I find that I've written the wrong amount in my checkbook, I'll correct it."

"Well, that's not the best method, but it's understandable. Then what do you do?"

"I'll look at the statement the bank sent me. It tells me how much money I have left in my account. Then I add that to my checkbook, and I can write some more checks."

I said, "No, I don't believe it works that way. You went through two steps of balancing a checkbook. But there are *seven* steps." I spent the next 30 minutes teaching her how to balance her checkbook and then she understood her mistakes.